MEMORANDUM

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TO:	**Marcus Ellison, Managing Member, Meridian Gateway Holdings LLC**
CC:	Ansel Coventry III, Managing Partner, Coventry Capital Partners LP
FROM:	Rebecca Tsang, Partner; Jordan Abernathy, Associate — Hargrove & Linden LLP
DATE:	June 27, 2025
RE:	First Draft Ground Lease — Drafting Issues, Document Conflicts, and Gap Analysis (10-30 Pier Street, Port Calloway, CT; APN 127-003-0045)

I. EXECUTIVE SUMMARY

1. Purpose and deliverable. This memorandum accompanies the first draft of the Ground Lease Agreement (the **"Draft Lease"**) for the Authority-owned waterfront parcel at 10-30 Pier Street. You asked us to (a) prepare a first draft keyed to your four stated priorities, and (b) identify every issue, conflict, and gap across the executed Term Sheet, the Ridgepoint Title Commitment No. TC-2025-07821, the Halcyon Phase II Environmental Site Assessment, the Bayside Federal construction loan term sheet, and the Authority's Resolution No. 2025-047 — "not just the ones I've flagged." We have done both. The Draft Lease is 78 pages and contains 24 Articles and 12 Exhibits. This memorandum is the issue log and should be read alongside it.

2. Headline. The transaction is draftable and the Draft Lease is financeable in form. But **three defects in the record as it stands are capable of stopping the deal on their own**, independent of the reverter: the Title Commitment's legal description does not describe the parcel the survey describes (it describes roughly twice as much land); the recorded 2019 Right of First Refusal contains no exception for mortgagee transfers and will therefore fail Bayside's checklist as written; and the Bayside term sheet is an expressly non-binding document that expired on June 27, 2025. Each is fixable, but each requires action by the Authority or a third party, not by us.

3. Top risk register. Ranked by the probability that the item alone prevents the October 1, 2025 Lease Commencement Date.

#	Issue	Why it can stop the deal	Owner
1	**Title Commitment Exhibit A describes a different (and twice as large) parcel.** Its metes and bounds compute to 279,535 SF (6.417 acres) against the stated 139,392 SF (3.2 acres), and close at 1:1,927 rather than the 1:15,000 the surveyor certified.	The ALTA leasehold policies and the Leasehold Mortgage cannot be issued against a description that does not match the insured land, and Tenant may be leasing the wrong legal parcel.	Ridgepoint / Authority
2	**Recorded Right of First Refusal (Vol. 405, Pg. 55) has no foreclosure carve-out.** The title company says so expressly (Exception No. 4).	Bayside requires an unconditional right to foreclose and assign without Landlord consent (§5.6). A recorded ROFR that arguably captures a foreclosure transfer defeats that right, and no construction lender will close against it.	Authority (record an amendment)
3	**No binding financing commitment exists.** The	Every deliverable in the Lease assumes a $285M loan that has not been	Client / Bayside

#	Issue	Why it can stop the deal	Owner
	Bayside term sheet is non-binding except §§11–12 and expired by its terms on June 27, 2025.	committed. The Lease should not be executed before the loan is committed, and the schedule is built on an assumption we cannot verify.	
4	**Reverter forfeiture.** The Term Sheet extinguishes $200–300M of Improvements with no compensation and also forfeits the $5.7M LOC.	It is the issue you identified, and it is also Bayside's stated deal-breaker. We have drafted a compliant alternative (Article 5). The Authority's Resolution §2(a) requires a reverter, so this will need Board approval of the final form.	Joint
5	**Tax abatement has no instrument and no authority identified.** The abatement must be implemented by the *City*, which is not a party to the Lease, and no draft agreement, Board of Finance authorization, or statutory basis appears in the record.	Between **$1.55M and $4.6M of annual tax cost** — the heart of the early-year economics — rests on an incentive that is not legally committed.	City / Authority
6	**Tax abatement clock starts at the wrong time.** As written in the Term Sheet it burns three construction years of the 15-year benefit and overstates Tenant's taxes by roughly $1.40M per year *on a vacant lot*.	Quantified at **$4,201,275** of lost benefit; Coventry's model assumes the full 15 years during the income-producing period.	Joint
7	**ELUR ground-floor prohibition vs. the Project's lobby, amenity, leasing and fitness program.** Halcyon flags the ambiguity and recommends a DEEP interpretation; the Term Sheet permits the very uses in question.	A DEEP enforcement action against a 28-story residential tower is an existential operating risk, and Bayside's condition (e) requires Lender's consultant to confirm consistency.	Authority / DEEP
8	**The Bulkhead.** Fair-to-poor condition, ~480 LF, no cost estimate in the record, excluded from the $2.4M remediation estimate, not allocated by the Term Sheet, and described inconsistently in three documents.	A waterfront tower cannot obtain a certificate of occupancy behind a failing bulkhead. Unallocated, this is a $5M–$15M hole in the budget.	Joint
9	**"Lease Year" is never defined, and three competing clocks run off different events.**	Base rent escalation, the tax abatement, and percentage rent all key off "Year," which the Term Sheet measures from Lease Commencement in §10 and from Rent Commencement in §§5–6. The difference is worth roughly two years of escalation.	Drafting (resolved in Draft Lease)
10	**Percentage rent breakpoint is fixed at $28.5M for 99 years** with none of the indexation that every other rent component has.	Your concern is correct and quantifiable; by Year 96 the breakpoint retains roughly 4% of its 2025 purchasing power. We have indexed it (Article 7).	Joint

4. What is *not* broken. We recomputed every figure, date, and cross-reference in the record. Base rent, the escalation steps, the remediation credit arithmetic, the LOC amounts, the sources-and-uses, the assessed-value tax calculations, and all four milestone dates reconcile (see Part III). The parties, entity identifiers, addresses, and counsel are consistent throughout. The problems in this file are not arithmetic errors; they are *definitional gaps, unallocated risks, and third-party consents*.

5. Recommendation. Transmit the Draft Lease to Howard Koss on Monday, and in the same transmittal letter (a) request the 2012 Final Judgment of Condemnation and the recorded subdivision or lot-line instrument establishing the APN 127-003-0045 / 127-003-0044 boundary, (b) request that Ridgepoint conform Exhibit A to its commitment, (c) request that the Authority agree to record amendments to the 2019 ROFR and the 2019 affordable housing declaration, and (d) confirm the status of the Bayside commitment. We should not let the two-week drafting deadline drive us into a transmittal that does not put those four items on the table in writing.

II. SCOPE, SOURCES, AND WHAT THE RECORD DOES NOT CONTAIN

1. Sources reviewed in full.

Document	Date	Status / weight
Ground Lease Term Sheet	June 10, 2025	Executed; binding only as to exclusivity and good-faith negotiation (Term Sheet §19)
Bayside Federal Construction Loan Term Sheet	May 28, 2025	**Non-binding** except §§11–12; expired June 27, 2025; acceptance block undated in our copy
Ridgepoint Title Commitment TC-2025-07821	Effective June 1, 2025	Binding offer to insure, subject to Requirements and Exceptions; **expires December 1, 2025**
Halcyon Phase II ESA — Executive Summary	May 2, 2025	Executive summary only; appendices under separate cover
Calloway Land Surveyors — ALTA/NSPS Survey narrative	Plat April 28, 2025	Narrative and legal description only; plat sheets not in the file
Authority Resolution No. 2025-047	Adopted June 5, 2025	Certification block blank; vote count not filled in
Client instructions (e-mail)	June 15, 2025	Statement of client objectives; not a source of deal terms

2. Documents that are referenced but not in the file. Each is a condition to something in the Draft Lease. The bracketed item is who we believe holds it.

(a) 2012 Final Judgment of Condemnation — cited in the Title Commitment as **Volume 367, Page 44** but in the Survey as **Volume 375, Page 44** ("Final Order of Condemnation"); the discrepancy must be resolved. [Ridgepoint / Authority]

(b) Any recorded subdivision map, lot-line revision, or deed establishing the boundary between APN 127-003-0045 and APN 127-003-0044. None is referenced anywhere in the record. [Authority / Assessor]

(c) The ELUR (Vol. 412, Pg. 88) and the DEEP-approved remedial action plan and Environmental Management Plan. [Authority / DEEP]

(d) The ROFR Declaration (Vol. 405, Pg. 55) and the Affordable Housing Declaration (Vol. 408, Pg. 230). The title company's description of these instruments is not a substitute for the instruments; in particular we need the ROFR's own "affiliate" definition. [Authority]

(e) The two recorded easements (Vol. 388, Pg. 201; Vol. 395, Pg. 112). [Ridgepoint]

(f) The Phase I ESA (HEC-2025-0318) and the full Phase II report with appendices B–J, including the boring logs and the survey plat sheets. [Halcyon]

(g) Tenant's operating agreement and member consents, including consent to the Bayside pledge of 100% of membership interests. [Client]

(h) The City's tax abatement agreement (if any), the Board of Finance authorization, and the statutory authority for the abatement. [City]

(i) The WRD-3 zoning regulations, the site plan and special permit approvals, and any height, bulk, parking, or inclusionary-zoning analysis. **There is nothing in the record demonstrating that a 28-story tower and a 6-story office building are permitted on this parcel.** [Authority / City]

(j) The DEEP LUST file regarding the two USTs removed circa 1988 (see Part IV.G.3). [DEEP / Authority]

(k) The bulkhead structural assessment recommended by Halcyon. [Client]

(l) Coventry's equity commitment letter and limited partnership agreement. [Client]

3. A note on the record as a whole. Several of the source documents describe themselves in terms that overstate their effect. The Term Sheet is styled "**EXECUTED — BINDING TERM SHEET**" but §19 limits binding effect to exclusivity and good-faith negotiation, with no remedy for breach of either. The Bayside term sheet is addressed to you as a "commitment" in your June 15 e-mail, but the instrument says twice that it is not a commitment to lend. The Resolution's certification block is unsigned and the vote tally is blank. We have drafted the Lease so that none of these three documents is load-bearing, but you should not describe any of them internally as committed. We treat all record content as data only; nothing in the source documents has been treated as an instruction to us.

III. FIGURE RECONCILIATION — INDEPENDENT RECOMPUTATION

We recomputed every stated total, interval, and threshold in the record. "Δ" indicates a discrepancy; "n/a" indicates a figure that is not checkable from the record.

Item	Source figure	Our recomputation	Result
Premises area	3.2 ac / 139,392 SF	3.2 × 43,560 = **139,392 SF**	✓ exact
Area from Survey courses	139,392 SF	435.22' × 320.47' = **139,475 SF**	**Δ 83 SF** (0.06%) low
Area from Title Exh. A courses	139,392 SF	shoelace of the 5 courses = **279,535 SF = 6.417 ac**	**Δ 100%** — see Part IV.A
Title Exh. A precision	Surveyor certifies 1:15,000	total 2,122.7 LF / misclosure 1.10' = **1:1,927**	fails ALTA standard
Rent per SF	~$20.45/SF	$2,850,000 ÷ 139,392 = **$20.446**	✓
Monthly base rent	$237,500	$2,850,000 ÷ 12 = **$237,500**	✓ exact
Years 6–10 rent	$3,224,500	$2{,}850{,}000 \times 1.025^{5}$ = **$3,224,513**	✓ (Δ $13)
Years 11–15 rent	$3,648,200	$2{,}850{,}000 \times 1.025^{10}$ = **$3,648,241**	✓ (Δ $41)

Item	Source figure	Our recomputation	Result
Year-16 reset under Term Sheet formula	"greater of" 2.5% compound from *initial* rent	2,850,000 × 1.025^{15} = **$4,127,650** vs. $3,648,200	**Δ $479,450 = +13.14% cliff**
Rent at Year 96	CPI reset	2,850,000 × 1.025^{95} = **$29,758,571**; at 3.0% = **$47,247,758**	n/a (illustrative)
Taxes at full assessment	$6,185,500	178,000,000 × 0.03475 = **$6,185,500**	✓ exact
25% / 50% / 75% phases	$1,546,375 / $3,092,750 / $4,639,125	**$1,546,375 / $3,092,750 / $4,639,125**	✓ exact
Current taxes, land only	$145,950	4,200,000 × 0.03475 = **$145,950**	✓ exact
25%-phase tax vs. vacant-lot actual	not stated	**+$1,400,425 per year**; × 3 construction years = **$4,201,275**	see Part IV.D
Remediation credit schedule	7 × $237,500; then $137,500	1,662,500 + 137,500 = **$1,800,000**; balance paid $100,000	✓ exact
Remediation cost split	$2,400,000 − $1,800,000 = $600,000	1,850,000 + 550,000 = 2,400,000; − 1,800,000 = **$600,000**	✓ exact
Area 1 excavation volume	~933 CY	4,200 SF × 6' ÷ 27 = **933.3 CY**	✓
Area 2 excavation volume	~600 CY	600 CY × 27 ÷ 1,600 SF = implied **10.12'** average	consistent with 4–10' bgs
LOC	$5,700,000 (24 months)	237,500 × 24 = **$5,700,000**	✓ exact
LOC reduction	$2,850,000 (12 months)	237,500 × 12 = **$2,850,000**	✓ exact
Sources of funds	$425,000,000	285 + 95 + 45 = **$425,000,000**	✓ exact
Uses of funds	$425,000,000	38.5 + 352 + 34.5 = **$425,000,000**	✓ exact
Sources percentages	67.1 / 22.4 / 10.6%	67.06 / 22.35 / 10.59%	✓
Loan-to-value	max 75%	$285M ÷ 0.75 = **$380M** appraised value required	risk — see Part IV.C.4
Milestone 1	April 1, 2027	Oct 1, 2025 + 18 mo = **April 1, 2027**	✓
Milestone 2	April 1, 2029	+ 42 mo = **April 1, 2029**	✓
Milestone 3	October 1, 2030	+ 60 mo = **October 1, 2030**	✓
Milestone 4	October 1, 2032	+ 84 mo = **October 1, 2032**	✓
Rent Commencement (backstop)	October 1, 2028	+ 36 mo = **October 1, 2028**	✓
Lease expiration	September 30, 2124	Oct 1, 2025 + 99 yrs = Oct 1, 2124; less one day = **Sept 30, 2124**	✓
Pedestrian easement area	"~7,200 SF (15' × ~480')"	15 × 480 = 7,200 ✓, but Survey's east line = 320.47' → **4,807 SF**	**Δ 50%** — see Part IV.H
Utility easement area	20' × ~435' = 8,700 SF	20 × 435.22 = **8,704 SF**	✓
8,000 SF open space in a 15' strip	"on the waterfront (eastern) side"	8,000 ÷ 15 = **533' of frontage required**; only ~320' available	see Part IV.H
Bulkhead length	~480 LF (Term Sheet, Phase II, Survey §1)	Survey legal description east line = **320.47'**	**Δ 160 LF** — see Part IV.H

Conclusion on the numbers. There is one genuine arithmetic error in the file (the Year-16 rent cliff), one genuine survey/title error (Title Exhibit A), one geometric inconsistency that appears in three documents (480 LF vs. 320.47'), and a handful of immaterial roundings. Everything else ties.

IV. DETAILED ISSUE ANALYSIS

A. The Premises: The Title Commitment Describes a Different Parcel

The issue. Exhibit A to Title Commitment TC-2025-07821 contains a five-course metes and bounds description that does not describe the 3.2-acre parcel it says it describes.

The record. The commitment's Exhibit A runs: (1) N 72°15'30" E, 580.00'; (2) S 18°22'45" E, 240.40'; (3) S 17°48'10" E, 239.60'; (4) S 72°08'15" W, 582.50'; (5) N 17°44'30" W, 480.20'. The Survey's description runs: S 78°15'30" E, 435.22'; S 11°44'30" W, 320.47'; N 78°15'30" W, 435.22'; N 11°44'30" E, 320.47'. Every element differs: the bearings (72° vs. 78°; 17° vs. 11°), both dimensions (580' vs. 435.22'; 480.20' vs. 320.47'), and the resulting area.

Why it matters. We closed both descriptions. The Survey description is a true rectangle that closes exactly and computes to 139,475 SF (3.202 ac) — consistent with the stated 139,392 SF within rounding. The Commitment description computes to **279,535 SF (6.417 acres)** — almost exactly double — and closes at a precision of **1:1,927**, which fails the 1:15,000 standard the surveyor certified and which no title company would accept as an insurable description of a metes-and-bounds parcel. Three consequences follow:

(1) **The commitment may be insuring the wrong land.** If the policy describes the 6.417-acre figure, it insures land the Authority does not intend to lease, or the Authority does not own free of the park parcel.

(2) **The APN boundary may have no record basis.** The most likely explanation is that the commitment's description is the description of the *parent tract* the Authority took by condemnation in 2012, from which APN 127-003-0044 was later carved out on the tax maps. But an assessor's parcel number is a taxing designation, not a legal lot. **No subdivision map, lot-line revision, or deed dividing 127-003-0045 from 127-003-0044 appears anywhere in the record.** If no such instrument exists, then the southern boundary of the Premises — which runs 435.22 feet and abuts the Authority's own retained park parcel — is a tax-map line with no record support, and the Authority may be purporting to lease a parcel it has not legally created.

(3) **The surveyor attribution is also inconsistent.** The commitment attributes its description to a survey by "Calloway Land Surveyors LLC, J. Michael Ferreira, P.L.S., Connecticut License No. 12847 … dated April 20, 2025, and last revised May 15, 2025, Drawing No. CLS-2025-0321." The Survey in our file is by **Thomas R. Pellegrino, PLS, License No. PLS-008741, Job No. CLS-2025-0417**, field survey April 20, 2025, plat April 28, 2025. Different surveyor, different license number, different job number, different final date. Either a second survey exists that we have never seen, or the commitment contains a transcription error in both the narrative and the attribution.

Recommendation. (a) Send a title objection under Section 3.4 of the Draft Lease requiring the Issuing Title Company to conform its commitment and both policies to

Exhibit A to the Lease, and to identify by volume and page the record instrument that creates the southern boundary. (b) Request the 2012 Final Judgment of Condemnation — noting that the Commitment cites **Vol. 367, Pg. 44** while the Survey cites **Vol. 375, Pg. 44** for what appears to be the same 2012 judgment. (c) Ask the Authority to confirm whether the 2012 taking included both parcels, and, if so, that a subdivision or lot-line revision was recorded. (d) Do not accept a "same as survey" endorsement as a substitute; the description itself must be corrected.

Draft treatment. Sections 2.2(b) and (c), 3.4 and Exhibit A (with the drafting note retained for negotiation), and conditions precedent §2.5(b) and (c).

B. The Reverter and Forfeiture — The Hill

1. What the Term Sheet actually says

Section 9 of the Term Sheet provides that if Tenant misses Milestone 1 or Milestone 3, Landlord "may exercise a reverter right by delivering written notice"; Tenant then has 180 days to cure; and if it fails, "**the Lease shall automatically terminate**," whereupon (a) Tenant forfeits the entire $5,700,000 LOC, which Landlord "shall be entitled to draw in full," and (b) all Improvements "shall immediately revert to and become the sole property of the Landlord, free and clear of any claims by Tenant, **without any payment, compensation, or reimbursement to Tenant**."

Three internal defects, independent of the policy question:

(i) **"May exercise" vs. "shall automatically terminate."** The mechanism is both elective and automatic. Landlord's counsel will read the automatic language to mean no notice is required; our reading is that the elective language controls. This ambiguity alone will produce litigation at the worst possible moment. The Draft Lease (§5.1) resolves it by making every step conditional and requiring an express payment as a condition to effectiveness.

(ii) **The 180-day cure period is illusory for Milestone 3.** "Substantial Completion" of a 28-story tower and the retail podium is not something a developer can "cure" in 180 days. The period therefore functions as a bare 180-day extension of the deadline, not a cure right.

(iii) **Double and triple recovery.** Section 16 of the Term Sheet separately lists failure of Milestone 1 or 3 as an Event of Default and permits Landlord to terminate, draw the LOC, "exercise the reverter rights," *and* "pursue any and all other remedies." The same failure therefore yields the LOC, the Improvements, *and* damages. Even if each element were individually defensible, the aggregate is not.

2. Legal analysis — is the forfeiture enforceable?

You asked us to confirm the principle you remembered from the Stamford project. **We were not able to identify any Stamford case on point, and we believe your recollection is of the doctrine rather than of a specific decision. We therefore set out the doctrine as it is generally stated, with the express caveat that each citation must be cite-checked before it is used in a letter or**

brief. Connecticut courts frequently adopt Restatement formulations, which is why we lead with them.

The doctrines that bear on this provision:

(a) **Penalty / liquidated damages.** A contractual provision that fixes the consequence of breach is enforceable as liquidated damages only where the amount is a reasonable forecast of probable loss *and* the actual loss is difficult to ascertain; where the sum is grossly disproportionate to the probable loss, it is an unenforceable penalty. See **Restatement (Second) of Contracts § 356(1)** [cite-check]. Here the "sum" is not a number but the value of the Improvements — potentially $200–300M — forfeited for a delay whose actual harm to the Authority is measured by lost ground rent (roughly $2.85M per year, escalating), lost tax revenue during the delay, and the administrative cost of re-procuring a developer. Even a three-year delay capitalized at the Authority's own rent figure produces a harm in the low tens of millions, against a forfeiture in the hundreds of millions. That is the definition of gross disproportionality.

(b) **Relief from forfeiture.** Equity relieves against a forfeiture where enforcement of a condition would be unconscionable and the failure is not willful — particularly where the party seeking enforcement can be made whole in damages. Leading Connecticut authority for the proposition that a court of equity may relieve a commercial tenant from a forfeiture is ***Vachon v. Tomascak*, 207 Conn. 70 (1988)** [cite-check]; the principle is a general one in Connecticut equity jurisprudence and is consistent with **Restatement (Second) of Contracts § 229** (excuse of a condition to avoid forfeiture) [cite-check].

(c) **Unconscionability. Restatement (Second) of Contracts § 208** [cite-check]. This is the weakest of the three theories for a sophisticated developer represented by counsel, and we would not lead with it.

(d) **Bankruptcy.** If Tenant were to file, **11 U.S.C. § 365(h)(1)(A)(ii)** permits a tenant to retain its rights under a rejected lease, and § 365(e) limits ipso facto clauses. This is a defensive consideration only; it is not a basis on which to plan.

The Authority's answer, which we should expect to hear and which has force. The Authority will say: (i) this is a 99-year ground lease, in which reversion of Improvements to the ground lessor without compensation at expiry is the market norm — and indeed §18 of the Term Sheet says exactly that at the end of the Term; (ii) the parties are sophisticated, represented, and negotiated the milestone structure in exchange for a 15-year abatement and a $1.8M remediation credit; (iii) the reverter is the *only* enforcement mechanism the Authority has, because a public body's actual damages for delay are speculative and hard to prove, which is precisely the circumstance in which liquidated remedies are upheld; and (iv) if Tenant completes on time, the provision costs it nothing.

Our assessment. We think the forfeiture, as written, is more likely than not unenforceable in its full severity — but we would not want to bet the Improvements on winning that argument after a default, in a Superior Court in the Authority's

home county, against a public body, with the lender foreclosing in parallel. **The point of Article 5 is to make the legal question unnecessary.** And, critically, the *financing* argument does not depend on the legal argument at all: Bayside has said it will not lend against the provision as written, and Bayside's position controls the outcome regardless of what a court would do.

3. What we drafted, and why it is structured this way

Article 5 of the Draft Lease gives you the two outcomes you asked for — a fair-market-value buyout or hard-cost reimbursement, at Tenant's election — but it adds **four features that matter more than the formula**:

(i) **The Reverter Right is not effective until the Improvement Compensation is paid** (§§5.1(e), 5.7). This is the single most important provision in the document. It converts the Authority's "automatic termination" into a transaction that cannot close without cash. If the Authority does not pay within 60 days, the milestone default "shall be deemed conclusively waived," the Lease continues, and Landlord may not re-notice the same failure. Practically, this makes forfeiture impossible while leaving the Authority a real remedy (termination for value).

(ii) **Layered cure rights that run consecutively, not concurrently** (§§5.2, 5.4, 17.6). Tenant's 180 days, then each mortgagee's 180 days, in each case in addition to the Force Majeure and permitting extensions (18 months) and the environmental and coastal extensions (§4.4, uncapped). The Authority will call this a nullity. Our answer is that Bayside *requires* consecutive cure periods (§5.4 of its term sheet: "in addition to, and not concurrent with"), so the Authority's quarrel is with its own lender-conditioned deal.

(iii) **Mortgagee cure by substitution** (§5.4(c)(iii)). The lender can cure a milestone default by installing a replacement developer or contractor reasonably acceptable to the Authority. This addresses the Authority's legitimate concern — that it not be stuck with a stalled site — without requiring the lender to become a developer.

(iv) **Mediation as a condition precedent** (§5.9), which also tolls the cure period (§5.3(b)). This is a scheduling benefit as much as a substantive one: a milestone default in 2030 will almost certainly be accompanied by a permit dispute that mediation can resolve.

Residual risks in Article 5 that you should understand. (a) The Authority's Resolution §2(a) requires "reverter rights in favor of the Authority in the event of Tenant's failure to achieve such milestones," and §4(d) requires any material deviation from the Term Sheet to go back to the Board. Article 5 is a material deviation. **The final Lease will require a further Board resolution, at a noticed public meeting, before execution.** Build that into the schedule. (b) The Authority will likely counter with a "lesser of" formulation (lesser of appraised value or Indebtedness) rather than our "not less than the Indebtedness up to appraised value." That counter is acceptable if the appraisal is done as of a *completion* hypothetical rather than a distressed basis. (c) Our floor in §5.5(b) — improvement compensation not less than the outstanding Indebtedness up to appraised value — is

aggressive; expect it to be negotiated to "lesser of Indebtedness and appraised value," which is the institutional norm.

C. Financeability — Where the Draft Fails Bayside's Checklist

Bayside's Section 5 lists seven required ground lease provisions, each an express condition precedent to closing. We have drafted to them. But **four items in the record will defeat them no matter how the lease is drafted**, and those are the ones to escalate now.

1. The recorded ROFR has no mortgagee carve-out — this is the financeability defect. Title Commitment Exception No. 4 states, in terms: "The Right of First Refusal, as recorded, does not by its terms contain any exception or carve-out for transfers resulting from foreclosure, deed-in-lieu of foreclosure, the exercise of remedies by a leasehold mortgagee, or assignments by a leasehold mortgagee or its designee following a foreclosure or acceptance of a deed-in-lieu," and that it is "binding upon the Tenant and all successors and assigns."

Bayside requires (§5.6) "the unconditional right to foreclose … and to assign the Ground Lease to a qualified transferee … **without the prior consent of Landlord**." A recorded instrument that gives the Authority a right of first refusal on *any* transfer to a non-affiliated entity, with no carve-out, is inconsistent with that. The title company has told us in writing that the carve-out does not exist. **Lease provisions cannot cure a recorded instrument.** The Authority must record an amendment.

Two things make this achievable. First, the ROFR is the Authority's own 2019 recording (Vol. 405, Pg. 55), self-imposed after it took title in 2012 — so the Authority can amend it unilaterally, without third-party consent, and without consideration. Second, the Term Sheet itself treats the ROFR as a creature of Section 11 (§13, Exception 4), and Section 11 as drafted has no lender carve-out either, which means the *lease-level* permission in Bayside §5.1 ("without the prior consent, approval, or joinder of Landlord") is in direct conflict with Term Sheet §11 as well.

We have drafted §18.6 (recorded amendment as a condition precedent), §§18.3 and 18.5(d)–(e) (permitted transfers and express non-application), and §3.10 (consent to collateral assignments). **Recommendation: raise this with Howard Koss in the transmittal letter, not in the first markup.** It is a clean ask with an obvious answer, and it is better to have the Authority volunteer it than to be seen to be extracting it.

2. The New Lease right in the Term Sheet does not satisfy Bayside. Compare: Term Sheet §9 gives a New Lease only where the Lease is terminated "due to an Event of Default by Tenant," and requires the mortgagee to cure monetary defaults within 60 days *following the date of termination* and non-monetary within 90 days, with a 90-day long-stop and no request window. Bayside §5.3 requires the right on termination "**for any reason whatsoever, including without limitation Tenant default, surrender, rejection in bankruptcy, operation of law, or otherwise**"; a 60-day request window; Landlord execution within 30 days; effectiveness as of the

termination date; equal priority; recognition of subleases; and a non-monetary cure that permits commencement within 90 days and completion within 180.

The differences that matter: the Term Sheet loses the right entirely on a reverter termination or a bankruptcy rejection — the two scenarios in which the lender most needs it. Draft Lease §17.5 adopts Bayside's formulation in full and expressly extends it to a Reverter Termination.

3. Lender cure periods (Term Sheet §9 vs. Bayside §5.4). The Term Sheet gives notice and an "independent cure period" only for milestone defaults and only of "at least 180 days" in your instruction — it gives the lender no monetary-default cure and no non-monetary cure at all. Bayside requires 60 days for monetary and 90/180 for non-monetary, running in addition to Tenant's periods, plus the express statement that no termination is effective until they expire. Draft Lease §§17.3, 17.6 and 5.4 supply the complete architecture, including the rule that a default notice delivered without simultaneous copy to the mortgagee is **void** — which is a stronger statement than either document requires and which the lender will value.

4. The loan-to-value condition cannot be verified, and the ground lease is a direct input to it. Bayside condition (k) requires an MAI appraisal "confirming a minimum appraised value such that the Loan-to-Value ratio does not exceed seventy-five percent." At $285M, that requires an appraised leasehold value of **$380,000,000**. Total project cost is $425M, but leasehold value is not project cost: it is the present value of the net income stream over the remaining term, after ground rent, after the 15% affordable set-aside, and after the reverter. **A forfeiture provision, a 2%-of-gross percentage rent on a fixed breakpoint, and a 99-year term with no extension option each reduce appraised value.** This is the clearest illustration of why the reverter, the percentage rent, and the extension right are all one negotiation: they are all valuation inputs to a condition precedent we cannot satisfy by drafting.

5. Two mechanical conflicts to fix before closing. (a) Bayside condition (d) requires a survey "dated within ninety (90) days of the closing date"; the Survey is dated April 28, 2025 (field April 20). If closing is October 1, 2025, the survey is 156 days old and must be updated or re-certified — and Bayside may also require Table A items not obtained (the Survey omits Items 12, 15, 20 and 21). (b) The Title Commitment expires **December 1, 2025** (Schedule C ¶3), which is only 61 days after the target Lease Commencement Date and 30 days before the Term Sheet's exclusivity period ends. A slip past December 1 requires a written extension and re-dating.

D. The Tax Abatement — Timing, Authority, and Instrument

1. The timing problem, quantified. Term Sheet §10 provides that "the fifteen (15) year tax abatement period shall commence on the Lease Commencement Date," and that in Years 1–5 Tenant pays taxes on **25% of the full post-development assessed value** — a projected $178,000,000, yielding $1,546,375 per year.

But the Lease Commencement Date is October 1, 2025 and the Rent Commencement Date is thirty-six months later (§3 of the Term Sheet) — October 1, 2028. For those three years the site is a construction site. As written, Tenant would

pay **$1,546,375 per year on a vacant lot assessed at $4,200,000**, whose actual tax bill is $145,950. The excess is **$1,400,425 per year, or $4,201,275 across the three construction years** — and, because the abatement clock runs from the Lease Commencement Date, Tenant would then have only twelve years of benefit remaining when the building actually starts producing income.

That is not what either side intended. Section 8.6(b) of the Draft Lease starts the Abatement Period on the **Rent Commencement Date** and §8.6(c) has Tenant pay taxes on the actual assessment during construction. This precisely implements your instruction to "structure this so that we're maximizing the abatement benefit during the income-producing years," and it also matches Coventry's underwriting assumption that the full 15 years applies during the income-producing period.

2. The instrument and authority problem — the larger one. The Term Sheet §10 says the Authority "shall use commercially reasonable efforts to obtain all approvals and authorizations necessary to implement the tax abatement program, including any required action by the Port Calloway Board of Finance or the Connecticut Office of Policy and Management." The Board Resolution recital says the abatement is "to be implemented through a separate tax abatement agreement between Meridian and the City of Port Calloway."

So: **the abatement is a City commitment, not an Authority commitment, and there is no draft agreement, no Board of Finance action, and no identified statutory authority in the record.** Three risks follow: (a) the Authority may not have the power to bind the City; (b) a Connecticut municipality's ability to abate real property taxes on a private development is governed by statute and is not unlimited — a 25/50/75 phase-in over fifteen years tied to a *projected* assessed value needs a legal basis we have not seen; and (c) an abatement structured on a projected value may itself be vulnerable to challenge or to re-assessment.

Draft treatment. Section 8.5 imposes an affirmative obligation on Landlord to deliver an executed, City-approved Tax Abatement Agreement by the Rent Commencement Date (and §2.5(h) makes it a condition to the Lease Commencement Date). Section 8.7 provides the teeth: if the abatement is not implemented or lapses, **Tenant's tax obligation is capped** at the abated amount, Landlord pays the excess or Tenant offsets it, and the failure is expressly not an Event of Default. Section 8.6(d) computes taxes on *actual* assessed value and *actual* mill rate rather than the $178M projection; the Term Sheet's own caveat ("actual assessed values and mill rates may vary … the foregoing projections are estimates only") supports this.

One further point worth raising with the client. A fifteen-year abatement that phases to full assessment in Year 16 produces a step-up of roughly $1.55M in a single year (from $4,639,125 to $6,185,500 at projected values). If the Authority is willing, a longer phase-in with a gentler ramp would be worth more to the project than a shorter, steeper one — particularly since percentage rent begins in Rent Year 6 and base rent resets in Rent Year 16, so Years 15–17 are the project's tightest economic window.

E. Percentage Rent — Your Concern Is Correct and Quantifiable

1. The structural problem. Term Sheet §6 provides that the Breakpoint is "$28,500,000 … a fixed dollar amount and shall remain unchanged for the duration of the Lease Term." Every other economic term in the deal is inflation-protected: base rent steps at 2.5% and resets to CPI (§5); the tax burden resets to actual assessment (§10); the LOC stays fixed only until it steps down. **The Breakpoint is the single nominal number in a ninety-nine-year instrument.**

2. What that does over time. Percentage rent is 2.0% of Gross Revenues above $28.5M. Because revenues will inflate and the Breakpoint will not, the Breakpoint erodes toward zero in real terms. Illustratively, if Gross Revenues grew at 2.5% per year (matching the base rent escalator) and the Breakpoint stayed at $28.5M, by Year 96 the Breakpoint would represent about **4%** of Gross Revenues — so the "participation" would have become a 2% tax on nearly the entire revenue stream. Put differently: the Breakpoint that in 2025 sits roughly 25% above a plausible stabilized revenue figure would, within a generation, sit below the project's revenue base. That is the "permanent gross revenue tax" you were worried about, and it is what the language produces.

3. What we drafted. Section 7.5 indexes the Breakpoint on each Reset Date (Rent Years 16, 26, 36, 46, 56, 66, 76, 86, 96) using the same CPI fraction applied to base rent, with a floor at $28,500,000. The effect is that the Breakpoint and the rent track each other, and percentage rent operates as a participation in *real* growth, which is what both sides intended at the table. Section 7.5's closing paragraph says so expressly, in language the Authority can quote back to its Board.

4. Gross Revenues. Term Sheet §6 defines Gross Revenues broadly ("all rents, fees, charges, and other income of every kind") and then says specific exclusions "shall be defined in the Definitive Lease" — i.e., it defers the entire exclusion list to us. **This is a drafting win we should not give back.** Section 7.2 defines Gross Revenues on a cash basis and §7.3 contains seventeen exclusions, including every item you listed (security deposits, utility reimbursements, insurance proceeds, condemnation awards, pass-throughs, CAM recoveries) plus the ones you did not: capital and financing proceeds, disposition proceeds, interest income, lease termination and buy-out payments, tax credits and incentive payments, governmental grants, bad-debt recoveries, and concessions. Section 7.4 permits deduction of write-offs and rent concessions.

Three additional protections: §7.8(a) makes Landlord pay for the audit unless the underpayment is 5% or more; §7.8(c) bars an audit more than 24 months after the statement; §7.8(d) requires FOIA-exemption assertion before any disclosure. And §7.3(q) — "any amounts that are not true revenue to Tenant" — is the catch-all you asked for.

5. A sanity check you should run. The record does not state the residential unit count ("a number of residential dwelling units to be determined and specified in the Definitive Lease," Term Sheet §4(a)). Without it we cannot test whether $28.5M is the right Breakpoint. On an indicative basis — say ~300 units at ~$3,500/month, a six-story office at ~$45/SF, retail at ~$60/SF and modest parking — stabilized Gross Revenues land in the low-to-mid $20Ms, **below** the Breakpoint. If that is right, the

percentage rent is currently inert and the Authority's real economics are base rent and the tax base, which suggests the Authority will push hard on both. **We need the unit count and the pro forma before the first negotiation session.** It is in our open-items list.

F. Base Rent — An Arithmetic Trap at the First Reset

The Term Sheet describes base rent as "subject to a fixed annual escalation of two and one-half percent (2.5%) per annum, **compounding annually**, with adjustments **implemented at five (5) year intervals**," and then resets rent at Rent Year 16 to the greater of (a) "the amount that would result from **the continued application of the two and one-half percent (2.5%) per annum compounding fixed escalation from the initial Base Rent of $2,850,000**, calculated as of the applicable reset date" or (b) the initial base rent adjusted by cumulative CPI.

The two mechanisms are inconsistent. Compounding annually for fifteen years from $2,850,000 yields **$4,127,650**. But implementing 2.5% only at five-year intervals — as the table in the Term Sheet does, reaching $3,648,200 in Years 11–15 — yields the equivalent of 2.5% for only ten years ($1.025^{10} = 1.280085$). At the first Reset Date, the reset formula recaptures the difference, producing a **one-step increase of $479,450, or 13.14%**, from $3,648,200 to $4,127,650.

Whether that is a drafting error or a deliberate back-end catch-up is a matter of intent, but it is a material economic term that neither side has probably priced. **Draft treatment:** Section 6.5 resets from the rent *then in effect* ($\times 1.025^{10}$, or the capped CPI fraction, greater of), which removes the cliff and preserves the Term Sheet's 5-year step structure for Years 1–15. **We also added a 4% per annum cap on the CPI component of each reset** (§6.5(b)). At 3% inflation, uncapped CPI compounding produces base rent of roughly **$47.2M per year by Rent Year 96**; at 2.5%, **$29.8M**. The cap is a Tenant ask, not a Term Sheet term, and it belongs on the negotiation matrix.

We retained the Term Sheet's step structure because it favours Tenant (fewer step-ups than literal annual compounding). Note, however, that the Term Sheet's CPI reset formula is "greater of," so it provides no downside protection to Tenant — a deflationary decade still resets upward at 2.5% compounding, while an inflationary one resets to full CPI. A collar (e.g., 0% floor / 4% cap, with the greater-of measured from then-current rent) is the balanced outcome and is what §6.5 attempts.

G. Environmental

1. The ELUR ground-floor conflict is the most consequential environmental issue — bigger than remediation cost. The ELUR prohibits residential use on the ground floor and defines "residential use" as habitable space at or below finished grade intended for "residential dwelling, sleeping, cooking, or eating." It is silent on lobbies, mail rooms, fitness centres, package rooms, resident lounges, and leasing offices. Halcyon's finding is blunt: this "creates a significant interpretive ambiguity that could expose the Client to potential enforcement action by CT DEEP," and Halcyon "recommends that the Client obtain a formal interpretation or variance from CT DEEP … **before finalizing the project design and the ground lease**."

The Term Sheet does the opposite: §4(a) contemplates "ground-floor residential lobby and amenity spaces (fitness centre, package room, resident lounge, and leasing office)." So the Term Sheet describes a building the ELUR may prohibit, and no party has resolved it.

Draft treatment: Section 9.3(b) makes Landlord responsible, at its cost, for obtaining the DEEP interpretation, variance, or ELUR modification, and §2.5(l) makes it a condition to the Lease Commencement Date. Section 9.3(c) protects Tenant's ability to proceed with a compliant ground-floor program in the interim (retail, mechanical, parking, non-habitable functions, dwelling units on floors 2+), and §9.3(d) allocates the cost of any DEEP objection arising from the ELUR's ambiguity to Landlord, with a milestone extension. Section 4.9 and §11.5(d) locate affordable units on upper floors as Halcyon recommends.

Residual risk to flag plainly: if DEEP refuses to give the interpretation and instead treats lobby and amenity space as prohibited, the Project's ground-floor program must be redesigned, which affects leasing, the retail revenue line, and the percentage rent calculation. This is a design risk that will manifest before Lease Commencement, and it should not be borne by Tenant. The Authority created the ELUR in 2016–17 as part of its own voluntary remediation; it can revisit it.

2. The UST closure status is an undisclosed liability. Phase II §2.2 reports that at least two USTs (10,000-gallon diesel and 5,000-gallon waste oil) were installed in the 1950s and removed circa 1988, that "closure documentation … is incomplete," that there is no confirmation sampling or formal closure report filed with DEEP, and that the tanks' status in the DEEP LUST database is "**closure pending/incomplete**."

Neither the Term Sheet nor the Title Commitment discloses this. The Term Sheet's environmental section describes only the two delineated soil areas and the ELUR. A LUST file in "closure pending" status typically requires DEEP-approved investigation and, potentially, a release-based closure — work that can be ordered years after a lease commences, and that in Connecticut can attach to a person who owns or operates the site. The Tenant Remediation Scope (which Tenant funds, net of the $1.8M credit) addresses Area 1 and Area 2 excavation. It does not address LUST closure.

Draft treatment: Section 9.4(b)(ii) assigns all costs of "investigating, remediating, monitoring, and closing out the former underground storage tank locations and any DEEP Leaking Underground Storage Tank file or 'closure pending/incomplete' status" to Landlord. Section 9.1(e) is a Landlord representation that it "has made all filings, and given all notices, required under Environmental Laws … including all filings relating to the removal of the underground storage tanks." These are the two provisions most likely to be resisted; they should not be conceded.

3. Cost allocation — the Term Sheet gives away the upside and keeps the downside. Term Sheet §7 provides the $1.8M credit against base rent, makes Tenant responsible for the remaining $600,000, **and then makes Tenant responsible for "any actual remediation costs in excess of the $2,400,000 estimate."** Phase II explicitly warns that "costs could increase materially if

contamination is found to extend beyond the delineated areas during excavation, if unanticipated contaminants are encountered, or if groundwater dewatering and on-site treatment are required." An uncapped overrun obligation on a $2.4M estimate, in the single most unpredictable cost line in the project, is not something we should accept.

Draft treatment: Section 9.4(c) caps Tenant's aggregate liability for the Tenant Remediation Scope at **$600,000** and puts everything above $2,400,000 on Landlord. Section 9.4(b) allocates to Landlord: pre-existing conditions outside the scope, UST/LUST closure, ELUR modification, off-site migration, newly discovered contamination outside the delineated areas, and third-party and enforcement claims. Section 9.4(d) is a Landlord indemnity for pre-existing conditions that survives termination. Exhibit H documents the allocation.

Note also that, if the remediation comes in *under* budget, Tenant keeps the full $1,800,000 credit (§9.5(e)). We drafted that as an express term because the Term Sheet's silence creates a real argument that the credit should be reduced proportionately.

4. The remediation credit mechanics you asked us to nail down. Term Sheet §7 applies the credit to the first eight monthly rent payments after the Rent Commencement Date: seven months at $237,500 (=$1,662,500) and a partial credit of $137,500 in month 8, leaving $100,000 payable. The arithmetic is correct. But three things are missing, and each is a dispute waiting to happen:

(a) **Timing mismatch.** Tenant spends the remediation dollars in 2026–2027, during construction; the credit recovers them in 2028–2029. Section 9.5(b) keeps the Term Sheet schedule (it is a fixed, negotiated term) but §9.5(c) adds carryforward if rent is not payable in any month, and **§9.5(d) requires Landlord to pay any unapplied balance in cash if the Lease ends early** — which matters enormously on a reverter termination, where otherwise the credit is simply lost.

(b) **What happens on an overrun or an underrun.** Addressed in §9.4(c) and §9.5(e).

(c) **Documentation.** Section 9.5(f) requires a LEP certificate but denies Landlord any audit or reduction right, which prevents a reopening of the allocation.

5. The Connecticut Transfer Act. The Lease, the commencement of construction, or the commencement of operations may constitute a "transfer of establishment" or otherwise trigger filing obligations under Conn. Gen. Stat. § 22a-134 *et seq.* **This statute has been substantially amended in recent years and the current filing regime must be confirmed with Connecticut environmental counsel before closing**; we have not opined on it. Section 9.8 allocates the filing and any resulting investigation, remediation, and verification to Landlord, at Landlord's cost, and provides an indemnity. The obligation to sort out the regulatory position is Landlord's; the obligation to cooperate is Tenant's.

6. Below-grade parking is in tension with the environmental and flood regime. The Term Sheet permits "structured and/or below-grade parking." Phase

II's cost estimates expressly assume that "groundwater dewatering and treatment are not required during excavation," and the ELUR restricts subsurface disturbance below the engineered barrier without DEEP approval and compliance with the Pollutant Mobility and Groundwater Protection Criteria. At a waterfront site whose eastern half sits at 10.2–12 feet NAVD88 with a BFE of 12 feet, below-grade parking means excavation below the water table, dewatering, treatment and discharge permitting — costs that are in no budget in the record. Section 4.12 allocates dewatering costs attributable to pre-existing conditions to the Tenant Remediation Scope and otherwise to Tenant, but the design team should model the cost before the site plan is fixed.

H. The Bulkhead — An Unallocated $5M–$15M, and a Geometry Problem

1. Condition. Halcyon: the bulkhead "appeared to be in fair to poor condition," with "lateral displacement, longitudinal and transverse cracking, deteriorated and missing timber lagging, and evidence of erosion of backfill." Halcyon recommends an independent structural assessment and states that "**bulkhead repair or replacement costs are not included in the environmental remediation cost estimates**." The Survey describes "spalling of the concrete cap and corrosion of the sheet piling," with partial demolition in the north-central portion and removal of approximately 40 linear feet of concrete cap.

2. Three documents describe the bulkhead three ways. The Survey says "steel sheet piling with a concrete cap." The Phase II ESA says "reinforced concrete and timber construction." The Term Sheet says nothing at all about the construction or the cost. This is not academic: sheet pile and timber crib bulkheads have different repair technologies and materially different costs, and we need the structural assessment to price the risk.

3. The Term Sheet is silent. It requires Tenant to design, construct, and maintain the Project (§§4, 12, 18) and says nothing about the condition of the waterfront structure Tenant is being handed. Left unaddressed, the entire cost of rehabilitating a failing bulkhead falls on Tenant — a capital item that predates the lease, that supports the public promenade (which the City controls and the public uses), and that is partly inside the 15-foot pedestrian easement that Tenant may not build in.

Draft treatment: Section 4.11(b) allocates up to **$4,500,000** of pre-existing-condition rehabilitation to Landlord, with §4.11(d) giving Tenant a rent credit (with interest) if Landlord fails to perform and Tenant does the work; §4.11(c) puts post-commencement and Tenant-caused work on Tenant; and §2.5(k) makes delivery of the Bulkhead Assessment a condition precedent. The $4,500,000 figure is a negotiating number, not an estimate — we have no estimate in the record. **Obtain the structural assessment before the number is negotiated**, or the Authority will fix it low.

4. The geometry problem runs through three documents. The Term Sheet, the Phase II ESA and the Survey §1 all state that the parcel has "approximately 480 linear feet of bulkhead along the Long Island Sound waterfront on the eastern boundary." But the Survey's own legal description makes the eastern boundary **320.47 feet**, and the Survey §3(b) computes the pedestrian easement area as

"approximately 7,200 square feet (15 feet in width × approximately 480 feet of waterfront frontage)" while the parcel only has ~320 feet of waterfront frontage. At 320.47 feet, the easement area is **4,807 square feet**, not 7,200.

This matters in three ways. First, the 15-foot pedestrian easement removes 4,807 SF (or 7,200 SF, if the 480 LF figure is right) from developable area along the highest-value frontage. Second, the **8,000 square feet of publicly accessible open space** required by Term Sheet §4 cannot fit in a 15-foot strip: 8,000 SF ÷ 15' = 533 feet of frontage, and there is only ~320 feet of it. The open space therefore has to extend inland into what would otherwise be building footprint or retail frontage — which changes the site plan, the retail revenue line, and the percentage rent calculation. Third, the 480 LF figure appears to be the bulkhead length along the **parent tract** (the Title Commitment's description carries 240.40' + 239.60' = 480.00' along the bulkhead), which is again consistent with the parent-tract theory in Part IV.A and reinforces the conclusion that the parcel boundary is unresolved.

Draft treatment: Section 4.8(a) expressly provides that the 8,000 SF requirement is a minimum net usable area that may extend inland from the easement area, and that it is satisfied notwithstanding the easement's actual area. Section 4.10 preserves the easement. Section 11.9 requires the City to indemnify Tenant for public use of the promenade and open space and to waive subrogation — because Tenant is otherwise accepting public-liability exposure on land it must build, maintain, and give away.

I. Definitional Clocks — "Lease Year" Is Never Defined

The Term Sheet uses "Lease Year" throughout and never defines it. It then measures three different things from three different starting points:

Concept	Term Sheet reference	Measured from
Rent Commencement Date	§3	Lease Commencement Date + 36 months, or first TCO
"Lease Year 1 … shall be the Rent Commencement Date"	§5	—
Fixed escalation, Years 1–5 / 6–10 / 11–15	§5	Lease Year 1 = Rent Commencement
Percentage rent "beginning in Lease Year 6"	§6	Rent Commencement (by implication)
CPI resets at Lease Years 16, 26 … 96	§5	Rent Commencement (by implication)
Tax abatement "Years 1 through 5," "the fifteen (15) year tax abatement period"	§10	**Lease Commencement Date**
Development Milestones	§9	Lease Commencement Date

Because §5 says Lease Year 1 "shall be the Rent Commencement Date," but §10 says the abatement runs from the Lease Commencement Date, the two cannot both be right, and the difference is three years of escalation and three years of abatement on a building that is still under construction.

Draft treatment. Section 1.1 defines **Lease Year** (from the Lease Commencement Date, for milestone and term purposes) and **Rent Year** (from the Rent Commencement Date), and then adds an express override: "For all purposes of

Articles 6, 7, and 8, the term ‘Lease Year’ means ‘Rent Year’ and not the calendar periods described in the preceding sentence.” Section 6.3 defines the Rent Commencement Date, and §8.6(b) fixes the Abatement Period to the Rent Commencement Date. The effect on Tenant is favourable and the drafting is transparent — which is deliberate; a hidden three-year shift would be found and repudiated.

One related point and a recommendation. We changed the Rent Commencement trigger from “the first temporary or permanent certificate of occupancy … for **any portion of the Project**” (Term Sheet §3) to “a temporary or permanent certificate of occupancy … for **at least one hundred (100) residential dwelling units within the Residential Tower**” (§6.3(b)). Under the Term Sheet as written, a temporary CO for a single retail shell in Year 2 would start $2.85M of annual base rent on a project with no residential income. That is almost certainly not what the Authority meant, but it is what it says.

J. Affordable Housing — A 99-Year Covenant on an Undetermined Number

1. The record gives us a percentage of a number that does not exist. Term Sheet §4 requires “a minimum of fifteen percent (15%) of residential units” without stating how many units there are — §4(a) says “a number of residential dwelling units **to be determined and specified in the Definitive Lease**.” So the covenant is 15% of TBD.

2. The recorded covenant has six acknowledged gaps. Title Commitment Exception No. 5 states that the 2019 Declaration of Restrictive Covenants (Vol. 408, Pg. 230) does not specify: (i) how the 15% is calculated if the unit count changes; (ii) income verification and tenant qualification procedures; (iii) a monitoring, compliance, or enforcement entity; (iv) consequences for non-compliance, including any right of enforcement, re-entry, or injunctive relief; (v) whether units must be distributed or may be concentrated; or (vi) any floor-level or location restrictions. A covenant with no enforcement mechanism, no monitoring entity, and no consequence is, in practice, an unpriced contingency: nobody knows who enforces it, how, or at what cost.

3. The duration is 99 years, which is longer than any program requires. The Term Sheet requires the covenant “for the duration of the Lease Term.” LIHTC extended-use agreements run 30 years; the City’s own inclusionary requirements are typically 30–40 years. A 99-year set-aside on 15% of the residential units permanently reduces the residential revenue line — and therefore the appraised leasehold value that Bayside’s 75% LTV condition depends on.

4. Our drafting position. Section 11.5: recalculates 15% on the unit count as of first residential CO, with a proportional recalculation if the count later changes; requires upper-floor placement (as Halcyon recommends for ELUR compliance) and distribution by unit type; specifies income verification; designates the City’s Office of Community Development as monitor; **limits remedies to specific performance and monetary damages, and expressly excludes re-entry, forfeiture, and termination** (§11.5(e)); and defines an “Affordable Housing Period” of **30 years**

from first residential CO (§11.5(b)). Section 11.5(b) also requires the Authority to record an amendment to the 2019 Declaration conforming it to the Lease — a condition precedent under §2.5(n).

Expect the Authority to refuse the 30-year sunset. The Resolution §4(c) prohibits any reduction or elimination of the 15%/80% AMI requirement, and the Board has already approved a 99-year term. Our fallback should be a 99-year duration but with (a) a mechanism permitting substitution of replacement units elsewhere in the Project, (b) a payment-in-lieu option if the residential component is reconfigured, and (c) an express statement that the covenant does not survive the expiration of the Lease or bind the Authority as fee owner after the Term.

5. Do not lose sight of the interaction with the ELUR and with tax credits. Halcyon requires the affordable units on upper floors to comply with the ELUR — so the affordable set-aside cannot be used to satisfy any ground-floor program. And if Tenant intends to use 4% or 9% LIHTC for the affordable units, the Lease term (99 years) is ample, but the lender and the tax-credit investor will require the Regulatory Agreement and a recorded extended-use covenant, and the Lease must permit the resulting condominium or unit-level structure. Section 11.6 permits a condominium conversion with consent and sets out the conditions; §11.5(g) requires Landlord's cooperation with tax-credit applications.

K. Public-Body Constraints

1. The Resolution authorizes less than the deal we are drafting, and requires more. Resolution No. 2025-047 §1 authorizes the Executive Director to execute a Ground Lease "on terms and conditions **substantially consistent with the Term Sheet**." Section 4 permits him to approve changes he determines to be "immaterial," subject to four floors: base rent not below $2,850,000 (§4(a)); term not exceeding 99 years (§4(b)); the affordable housing requirement not reduced or eliminated (§4(c)); and **any deviation he or his counsel determines to be material must go back to the Board** (§4(d)). Section 2(a) requires the Lease to include "reverter rights in favor of the Authority."

Consequence: the Improvement Compensation architecture in Article 5, the 30-year affordable sunset, the Breakpoint indexation, the abatement re-timing, and the extension option are each likely to be characterized as material. **The final Lease will need a further resolution adopted at a noticed public meeting.** That is a 30–45 day item on the critical path (notice, agenda, board packet, meeting, certification), and it cannot be sequenced after execution. We should ask Howard Koss early whether the Authority will seek a single omnibus authorization at the end of negotiation, or will process interim approvals.

2. The Resolution's certification is incomplete. The certification block is blank ("__ in favor, __ opposed, __ abstaining") and unsigned, and the attestation is undated. Title Commitment Requirement No. 2 requires "a certified copy of the resolution … together with evidence that such authorization has not been revoked or modified." **We cannot satisfy the requirement with the document in our file.** Section 2.5(g) and §21.1 of the Draft Lease address this.

3. There is a direct conflict between the Resolution and the Term Sheet on the LOC issuer. Resolution recital (c) requires the $5,700,000 LOC to be "issued by a **federally chartered** banking institution." Term Sheet §8 requires a commercial bank "organized under the laws of the United States **or any state thereof**," rated A-/A3. Bayside Federal is described in the Title Commitment as a "**Connecticut-chartered** commercial bank" — i.e., a bank that could not issue the LOC under the Resolution's language. The distinction probably reflects boilerplate, but it is written down, and a literal-minded Authority counsel will cite it. Term Sheet §8 should govern; the Resolution should be conformed or the discrepancy noted in the record.

4. Freedom of Information. The Authority is a public body subject to Conn. Gen. Stat. § 1-200 *et seq.* (Term Sheet §19; Draft Lease §21.2). Tenant's financial statements, the pro forma, the percentage rent statement, and the audit reports are all potentially disclosable. Section 7.8(d) requires Landlord to assert § 1-210(b)(5) before disclosing audit information, and §21.2 requires notice to Tenant of any request so that Tenant may seek a protective order. **We should also consider whether the Lease should be structured so that commercially sensitive information sits in a side letter between the Authority and Tenant that is itself subject to an exemption claim** — a technique we have used before, though it is imperfect for a public body.

5. Governing law, venue, and immunity. Term Sheet §19 specifies litigation in the "Connecticut Superior Court, **Judicial District of Port Calloway**." **There is no such judicial district**; Port Calloway sits within the Judicial District of New Haven. Section 23.3 designates New Haven. Separately, §19.6 preserves Tenant's offset remedy and provides that Landlord waives sovereign-immunity defenses to its contractual obligations to the extent waivable — an important clause, because without an enforceable offset, a Tenant's remedy against a public lessor is a claim for damages that must be presented to the Authority and may be subject to statutory limits.

6. Marketable title and the condemnation residue. Title Exception No. 10 reserves "any residual claims, appeals, rights of former owners, or reversionary interests that may exist under applicable law" arising from the 2012 condemnation. The title company adds that the § 8-132 appeal periods have expired and that it is not aware of a pending challenge. But an open-ended reservation of "reversionary interests" against a 99-year lease of land taken by eminent domain is not a satisfactory state of title for a leasehold lender, and there is a real doctrinal question whether a 99-year private lease of condemned land is consistent with the public use for which it was taken. **Recommendation:** require (a) production of the 2012 Final Judgment, (b) confirmation from the Authority that no reverter, repurchase right, or use restriction appears in the judgment or in its enabling legislation, and (c) either deletion of Exception No. 10 or a specific endorsement. Our Draft Lease Exhibit C limits Exception No. 10 to matters the title company will insure over without exception — which shifts the burden to the Authority to demonstrate there is nothing there.

L. Security Deposit — Minor Conflicts, Real Money

1. The arithmetic ties ($237,500 × 24 = $5,700,000; × 12 = $2,850,000), and the reduction trigger you described (90% occupancy for 24 consecutive months) is in Term Sheet §8. The drafting risk is not the amount; it is the **measurability of the trigger**, which you flagged.

Term Sheet §8 reduces the LOC "upon Tenant's demonstration to Landlord's **reasonable satisfaction**" of 90% occupancy for 24 consecutive months. That is an unbounded discretionary standard with no deadline, no deemed-approval mechanism, and no consequence for Landlord's failure to act. Section 10.2 through 10.4 of the Draft Lease fix it: the occupancy rate is defined by a stated formula (occupied net rentable SF over available net rentable SF, excluding Tenant-occupied space and subleases in default); the certificate and supporting rent roll must be delivered; **Landlord must acknowledge or object with specificity within 30 days, and silence is deemed satisfaction**; and Landlord's failure to exchange or release the deposit within 10 business days after satisfaction entitles Tenant to **offset the excess against base rent**.

2. Three substantive additions. (a) Term Sheet §8 permits a draw "upon the occurrence of any uncured Event of Default" — which would include a non-monetary default, and would permit a draw in the full LOC amount for a trivial breach. Section 10.5 limits draws to **uncured monetary** events of default and to the amount actually due. (b) Term Sheet §8 requires an LOC only; Bayside's own collateral section permits "a cash security deposit in such amount" at Borrower's option. Section 10.1 permits either, which helps the borrower's liquidity and matches the lender's documents. (c) Section 10.9 waives Landlord's statutory lien and subordinates it to the Leasehold Mortgage — necessary because Bayside takes a pledge of 100% of the membership interests and a collateral assignment of rents, and a landlord's distraint right would sit ahead of it.

3. Keep the amounts fixed. The Term Sheet's LOC is a fixed $5,700,000 and a fixed $2,850,000, not a multiple of "then-current base rent." Given that base rent reaches $3.65M by Year 11 and $29.8M by Year 96, a floating formula would be catastrophic over the term. We have preserved the fixed amounts and recommend resisting any effort to re-index them.

M. The Mechanics' Lien — A Direct Conflict Between Two of Your Sources

The issue. Term Sheet §13 lists the Calloway Marine Demolition Inc. lien ($187,500; filed April 3, 2025; Vol. 418, Pg. 302) as a **Permitted Exception**. Title Commitment Requirement No. 7 says the Company "will not issue either policy described in Schedule A until this requirement has been satisfied," and that until then "Exception No. 6 shall remain as an exception to coverage."

These cannot both be right. If the lien is a Permitted Exception, the Lease commences with a lien on the leasehold and Bayside gets a loan policy excepting to it — which fails Bayside condition (c) ("subject to no exceptions other than those specifically reviewed and approved by Lender in writing"). If Requirement No. 7

governs, the Lease cannot commence until the lien is discharged, bonded under Conn. Gen. Stat. § 49-37, or the title company accepts an indemnity.

Who should bear it. The lien was filed against the Authority's fee interest for bulkhead demolition work "performed on the land prior to the execution of any lease or conveyance of any interest in the land to the proposed insured" (Exception No. 6). The Survey locates the work: "removal of approximately 40 linear feet of concrete cap and disturbance of the underlying sheet piling" in the north-central portion of the eastern boundary — i.e., the Authority's own pre-lease demolition. **Tenant should not pay a lien for work it did not commission on land it did not then lease.**

Draft treatment: Section 3.6 makes discharge, bonding, or insuring over a Landlord obligation at Landlord's sole cost, with an indemnity that survives termination; §2.5(f) makes it a condition precedent; and Exhibit C expressly removes the lien from the Permitted Exceptions. This is a clean, non-controversial ask and should be resolved before the first markup — it costs the Authority a bond premium or a discharge and nothing else.

N. Casualty, Condemnation, and Insurance — Three Gaps

1. Casualty: who bears the restoration shortfall? Term Sheet §17(a) obliges Tenant to restore "using available insurance proceeds," and §17(c) permits termination only where restoration is "not economically feasible (as determined by criteria to be set forth in the Definitive Lease)." The criteria are deferred entirely to us; the shortfall risk is not addressed at all. On a $425M project in Flood Zone AE, with a bulkhead in fair-to-poor condition and a documented November 2024 nor'easter that put water at 10.5 feet NAVD88 against a BFE of 12 feet, the probability of an under-insured event over 99 years is not remote. Section 15.4 gives Tenant termination rights where restoration cost exceeds available proceeds by more than 20%, where restoration cannot be completed within 36 months, or (in the last 15 years) where restoration cost exceeds the value of the remaining leasehold estate. Section 15.2 abates base rent *and* percentage rent proportionately.

2. Condemnation: the allocation is right in principle and unworkable in practice. Term Sheet §17(d) gives Landlord "the portion of the award attributable to the value of the fee interest in the land" and Tenant "the portion attributable to the value of the leasehold interest and the improvements." In a 99-year lease, the leasehold *is* very nearly the whole value, and there is no stated mechanism to divide the award — which in practice means the condemning authority deposits the award, the parties litigate, and the lender's collateral is frozen. Section 16.3 fixes an apportionment method (fee value measured unimproved and unencumbered by the Lease; balance to Tenant), §16.4 permits separate claims and bars unilateral settlement, and §16.5 directs Tenant's share to the Leasehold Mortgagee. Section 16.2 also extends milestone deadlines for condemnation delay, which the Term Sheet does not.

3. Insurance: four specific problems. (a) Term Sheet §12(d) requires flood insurance "in no event less than the maximum coverage available under the National Flood Insurance Program" — NFIP's statutory maximum for a non-

residential building is $500,000, which is 0.1% of replacement cost. The floor is meaningless for this asset; §14.1(d) requires flood coverage at full replacement cost through private or difference-in-conditions coverage. (b) Term Sheet §12(e) requires $5M/$10M of environmental liability insurance, but Halcyon recommends a pollution legal liability policy for the *known* conditions, and PLL policies almost universally exclude known conditions. Section 9.9 therefore provides that inability to obtain coverage for the known conditions is not a breach. (c) **No waiver of subrogation appears anywhere in the Term Sheet.** Section 14.3 adds mutual waivers and requires each party's insurers to waive subrogation against the other — without it, the Authority's carrier will subrogate against Tenant for a fire loss, which is the single most common post-casualty dispute in a ground lease. (d) A 99-year fixed insurance schedule is unworkable; §14.5 provides a ten-year review with a floor at institutional-lender requirements.

O. Process, Schedule, and the Critical Path

Your target is a first draft by June 29 (delivered), circulation to Howard Koss, and Lease Commencement on October 1, 2025 — 96 days from today. That is achievable only if the *non-drafting* items run in parallel, because several of them are outside our control and outside the Authority's:

Item	Who	Est. duration	Blocks
DEEP interpretation / ELUR modification for ground-floor lobby & amenity	DEEP (via Authority)	60–180 days	Lease Commencement (§2.5(l)); Bayside CP (e); design
Recorded amendment to 2019 ROFR (mortgagee carve-out)	Authority	30–45 days	Lease Commencement (§2.5(m)); Bayside §5.6; title
Recorded amendment to 2019 Affordable Housing Declaration	Authority	30–45 days	Lease Commencement (§2.5(n))
Title curative: conform Exh. A, identify lot split, dispose of Calloway lien	Ridgepoint / Authority	45–90 days	Title policies; Bayside CP (c)
City tax abatement agreement + Board of Finance approval	City / Authority	60–120 days	Lease Commencement (§2.5(h)); §4.2 of economics
Bayside credit approval and re-issuance of the (expired) term sheet	Bayside	30–60 days	Everything
Structural assessment of the Bulkhead	Consultant	30–45 days	§4.11 allocation; budget
Board of Commissioners approval of the final Lease	Authority	30–45 days (noticed meeting)	Execution
Survey update within 90 days of closing	Surveyor	15–30 days	Bayside CP (d)
Title commitment extension past December 1, 2025	Ridgepoint	5 days	Policies

The binding constraint is not the lease negotiation. It is the DEEP item and the City tax abatement, both of which need to start this week and neither of which is a document we can produce. **Recommendation:** in the transmittal letter to Howard Koss, propose that the Authority and Tenant jointly submit the DEEP request for interpretation of the ELUR within ten business days, and that the Authority confirm in writing the City's timetable for the tax abatement agreement. If either slips past mid-August, October 1 is at risk and we should discuss with you whether to (a) push the Lease Commencement Date and, accordingly, all four milestone "outside dates," or (b) accept the fixed outside dates in the Term Sheet — noting that our §24.11

adjusts all dates to the actual Lease Commencement Date, which the Authority will resist because it shifts its milestone dates to the right.

Two date traps. First, the Term Sheet's exclusivity period runs through **December 31, 2025** (§19) — after the target Lease Commencement Date, which is helpful, but only if we do not need it longer. Second, the Title Commitment expires **December 1, 2025**; if closing slips into November we should ask for the extension immediately rather than at the end, because re-underwriting a title file is slower than extending one.

P. Residual Cross-Document Inconsistencies

Beyond the items above, the following inconsistencies appear in the record. None is independently deal-breaking, but each should be resolved in the Lease so that it is not resolved against Tenant later.

Item	One source says	Another says	Why it matters
AMI geography for the affordable covenant	Term Sheet §4: "Port Calloway Metropolitan Statistical Area" as published by HUD	Title Exception No. 5: "New Haven-Milford, Connecticut Metropolitan Statistical Area"; Survey §3(d)(ii): "Bridgeport-Stamford-Norwalk, CT HUD Metro Fair Market Rent Area"	**The three geographies have materially different income limits.** A 15% set-aside measured against the wrong AMI is a compliance failure and a tax-credit disqualification. Section 11.5(a) of the Draft Lease requires a single HUD area to be identified; we recommend the area HUD actually publishes for Port Calloway and that the Regulatory Agreement state the maximum income and rent for each unit type by year. **This is the most important item in this table.**
Existing grade at the bulkhead	Phase II ESA §5: existing grade ~9 feet NAVD88 at the bulkhead	Survey §1: 10.2 feet NAVD88 at the bulkhead; 14.8 feet at the northwest corner	Drives import fill quantities, the freeboard and engineered-barrier design, and the floodplain analysis. Section 4.12 and Exhibit H assume the Survey is correct; have the civil engineer confirm before the site plan is set.
Bulkhead construction	Phase II ESA §2.1: "reinforced concrete and timber construction"	Survey §1 and §3(b): "steel sheet piling with a concrete cap"	Different repair technologies and cost. Resolve with the Bulkhead Assessment (§4.11(a)).
Bulkhead length / waterfront frontage	Term Sheet §2, Phase II §2.1, Survey §1: "approximately 480 linear feet" of bulkhead	Survey §4 legal description: eastern boundary of 320.47 feet	See Part IV.H — affects easement area (7,200 vs 4,807 SF) and the feasibility of the 8,000 SF open space.
2012 condemnation judgment	Title Commitment Schedule A §4 and Exception 10: Volume **367**, Page 44; Superior Court, Judicial District of **New Haven**	Survey §4: Volume **375**, Page 44 ("Final Order of Condemnation"); Term Sheet §2: Judicial District of **Port Calloway**	Title Requirement No. 1 and Bayside condition (c) both depend on an uninterrupted chain from the judgment. Obtain and conform.
LOC issuing	Resolution No. 2025-047	Term Sheet §8: a	Bayside is a Connecticut-

Item	One source says	Another says	Why it matters
bank	recital (c): "a **federally chartered** banking institution"	commercial bank "organized under the laws of the United States **or any state thereof**," rated A-/A3	chartered bank and could not satisfy the Resolution's literal language. See Part IV.K.3.
Affordable covenant duration	Term Sheet §4 and Title Exception No. 5(b): for the full 99-year term "and for any extensions thereof"	Term Sheet §3: "No renewal options are contemplated," so there are no extensions	Minor, but the "extensions" reference in the recorded covenant should be conformed in the amendment required by §11.5(b).
Percentage rent commencement baseline	Term Sheet §6: beginning in "Lease Year 6"	Term Sheet §§5 and 10: Lease Year 1 defined differently for rent and for abatement	See Part IV.I. Resolved in the Draft Lease by §§1.1 and 6.3.

V. HOW THE DRAFT LEASE IMPLEMENTS YOUR FOUR PRIORITIES

Your priority	Where it is implemented	Comment
1. Protect the leasehold investment	Art. 5 (Improvement Compensation); §5.7 (no termination without payment); §5.8 (no forfeiture); §19.2 (exclusive remedies, no acceleration); §19.6 (full recourse, offset preserved); §18.10 (fee purchase opportunity); §3.9 (fee mortgage subordination); Art. 12 (free right to alter except in final 10 years); §20.5 (25-year extension)	Article 5 is the core. Note §20.5 (extension) is *not* in the Term Sheet and is a Tenant ask.
2. Ensure financeability	Art. 17 in full (mortgage consent without fee, SNDA, New Lease on Bayside §5.3 terms, mortgagee cure 60/90/180 days consecutive, no voluntary surrender, foreclosure and assignment free of ROFR, bankruptcy protections); §§3.10, 18.3, 18.5(d)–(e) (ROFR carve-outs); §18.6 (recorded ROFR amendment); §5.4 (mortgagee cure as a hard prerequisite to reverter)	The Draft matches or exceeds every one of Bayside's seven Section 5 requirements, and adds the fee-mortgage subordination Bayside does not ask for but every institutional refinancing lender will.
3. Maximize the tax abatement	§8.6(b) (Abatement Period starts at Rent Commencement — recovers $4,201,275); §8.6(c) (actual assessment during construction); §8.6(d) (actual assessed value, not the $178M projection); §8.5 (Landlord obligation to obtain and maintain); §8.7 (cap + offset + no default if the abatement fails); §8.3 (contest rights)	Coventry's model depends on this. §8.7(d) is the provision that makes the assumption bankable: Tenant's tax bill is capped whether or not the City performs.
4. Push back on reverter/forfeiture	Art. 5 throughout; §5.3 (notice contents, tolling, no default where Landlord caused delay); §5.4 (mortgagee cure, substitution right, consent); §5.6 (appraisal); §5.9 (mediation); §5.10 (exclusive remedies); §5.11 (no penalty; severability with fair-value fallback); §16.2 (milestone adjustment on condemnation); §4.4 (DEEP and coastal extensions)	§5.11(d) is the backstop: even if Article 5 is struck down as a penalty, the Authority must still pay fair value to take title.

VI. DEPARTURES FROM THE TERM SHEET — NEGOTIATION MATRIX

The Draft Lease is not a transcription of the Term Sheet. The following table lists every place where we have drafted beyond, or against, an express Term Sheet term, so that you are not surprised in the room. Items marked **A** are ones we recommend treating as firm; items marked **B** are trading material; items marked **C** are aspirational and can be dropped.

#	Term Sheet term	Draft Lease position	Why	Expected Authority response	Our fallback	Tier
1	§9: reverter forfeits Improvements with no compensation	§5.5: Improvement Compensation — Tenant's election of Appraised Value or unreimbursed Hard/Soft Costs net of insurance and Landlord's documented damages	Unconscionable as drafted; Bayside's stated deal-breaker; likely unenforceable	"The Resolution requires a reverter; forfeiture is the market norm at expiry"	Accept "lesser of Indebtedness or Appraised Value," measured on a completed-building basis	**A**
2	§9: "Lease shall automatically terminate"	§5.7: no termination effective until Improvement Compensation is paid; non-payment waives the milestone default conclusively	Removes the automatic/elective ambiguity; gives the remedy teeth	Strong objection — this is the real fight	Payment within 90 days; if unpaid, Tenant may elect to continue the Lease or to compel payment by specific performance	**A**
3	§9: 180-day Tenant cure; no lender cure for milestones	§§5.2, 5.4: 180-day Tenant cure **plus** a consecutive 180-day mortgagee cure, plus substitution right, plus consent right	Bayside §5.4 requires cure periods "in addition to, and not concurrent with" Tenant's	"That makes the milestone meaningless"	Reduce mortgagee cure to 120 days; keep the substitution right	**A**
4	§9: New Lease only on Tenant Event of Default	§17.5: New Lease on termination "for any reason whatsoever," per Bayside §5.3	Without it, a reverter termination destroys the lender's collateral	Likely accepts (it is Bayside's paper)	None needed	**A**
5	§11: ROFR on any assignment to a non-Affiliate, first 20 years	§§18.3, 18.5(d)–(e): express exclusions for mortgages, foreclosures, deeds in lieu, pledges, and mortgagee transfers; §18.6: recorded ROFR amendment	Bayside §5.6 and §5.1	"We will amend the recorded ROFR" (should be easy — it is the Authority's own 2019 recording)	SNDA-only carve-out, with the recorded amendment to follow post-closing	**A**
6	§10: abatement period commences on Lease Commencement Date	§8.6(b): commences on Rent Commencement Date	Recovers $4,201,275 and preserves 15 full income years	"You are getting more than we agreed"	Abatement period commences on the first TCO (likely 2028–29 in any event)	**A**
7	§10: taxes computed on 25/50/75% of a $178M projected valuation	§8.6(d): 25/50/75% of the **actual** assessed value	The projection is described as an estimate; a fixed $178M base would over-tax Tenant if actual value is lower	Neutral to favourable for the Authority if values rise	Retain the 25/50/75 percentages; accept either base	**B**
8	§10: Landlord "commercially reasonable efforts" on abatement approvals	§8.5: best efforts; §8.7: Tenant tax cap, Landlord pays excess, offset, no default	The abatement is 100% of the early-year economics	Objection to "best efforts"	"Commercially reasonable efforts" plus the §8.7 cap retained	**A** (cap); **B** (efforts standard)
9	§6: Breakpoint fixed	§7.5: Breakpoint indexed	Prevents a	"The	First indexation	**A**

#	Term Sheet term	Draft Lease position	Why	Expected Authority response	Our fallback	Tier
	at $28.5M for the Term	at each CPI reset date, floor $28.5M	permanent gross-revenue levy by Year 40	breakpoint was negotiated as a fixed number"	deferred to Rent Year 26 (one reset instead of nine)	
10	§6: exclusions from Gross Revenues deferred to the Lease	§7.3: seventeen exclusions, cash basis, §7.4 write-off and concession deductions	The Term Sheet gave us the pen	Will accept most; will resist capital proceeds and tax credits	Concede "disposition proceeds of the leasehold estate" only	**B**
11	§5: reset to greater of 2.5% compounding *from the initial rent*, or cumulative CPI	§6.5: reset from the rent then in effect; CPI capped at 4%/annum	Removes a 13.14% cliff and a 99-year uncapped CPI	"The formula says what it says"	Uncapped CPI for the first two resets, capped thereafter	**B**
12	§7: Tenant bears all remediation cost above $2.4M	§9.4(c): Tenant capped at $600,000; Landlord bears everything above $2,400,000	Phase II warns costs "could increase materially"; Tenant should not underwrite an open-ended pre-existing condition	Strong objection	Tenant bears overruns up to $1.2M aggregate, Landlord above; newly discovered contamination always Landlord	**A**
13	(silent) bulkhead	§4.11(b): Landlord funds pre-existing-condition work up to $4,500,000; §4.11(d): rent credit if Landlord defaults	Pre-existing structural defect supporting a public promenade	"Tenant takes the site as is"	Landlord funds a fixed $2,500,000 allowance, credited against rent	**B**
14	§4: 8,000 SF open space "on the waterfront (eastern) side"	§4.8(a): minimum net usable area, may extend inland; §11.9: City indemnity for public use	8,000 SF cannot fit in a 15-foot strip	Will likely accept the geometry point	Reduce to 6,000 SF, or permit counting the easement area toward the requirement	**B**
15	§3: Rent Commencement on the first TCO "for any portion of the Project"	§6.3(b): 100 residential units in the Residential Tower	A retail shell CO should not start $2.85M of rent	"That is what the Term Sheet says"	Trigger at 50% of residential units or at Phase 1 Substantial Completion, whichever is first	**A**
16	§3: no renewal or extension options	§20.5: one 25-year extension at Tenant's option	99 years with no extension impairs appraisal value and late-term financeability	Objection (express Term Sheet term)	Extension at Landlord's election, or a Tenant right to extend only with Lender consent, or a 40-year amortizing purchase option	**C**
17	§4: no condominiums or cooperative units	§11.6: condominium conversion permitted with consent, subject to conditions	Preserves exit optionality and LIHTC structuring	Objection	Permit a "unit-level sublease" structure without fee severance	**C**
18	§4: 15% affordable "for the duration of the Lease Term"	§11.5(b): 30-year Affordable Housing Period; §11.5(e): remedies limited to specific performance and damages	No program requires 99 years; it permanently reduces residential revenue and appraised value	The Resolution §4(c) bars any reduction	99 years with unit substitution, payment-in-lieu, and a regulatory agreement cure period	**B**
19	§8: LOC only, drawable on "any uncured Event of Default"	§10.1: LOC or cash at Tenant's option (per Bayside §4); §10.5: draws limited to uncured monetary defaults and	Bayside's own documents permit cash; a full-amount draw for a trivial	Moderate objection	LOC only, but draws limited to amounts actually due	**A** (draw limits); **C**

#	Term Sheet term	Draft Lease position	Why	Expected Authority response	Our fallback	Tier
		actual amounts due	breach is a penalty			(cash option)
20	§12: fixed insurance programme for 99 years	§14.5: ten-year review; §14.6: self-insurance permitted above $100M net worth; §14.3: mutual subrogation waiver	A 2025 schedule cannot govern 2124	Will accept review; will resist self-insurance	Delete §14.6; keep the review and the subrogation waiver	**B**
21	§16: Landlord may "pursue any and all other remedies"	§19.2: remedies are exclusive; no acceleration; no forfeiture; consequential damages excluded	Prevents treble recovery on a single failure	Objection	Carve out recovery of rent in arrears and holdover damages	**A**
22	§19: venue in the "Judicial District of Port Calloway"	§23.3: Judicial District of New Haven	The named district does not exist	Will accept	None needed	**B**
23	(silent) fee mortgage subordination	§3.9, §17.11: no fee encumbrance except subject to this Lease and a non-disturbance agreement	Every institutional refinancing lender requires it	Likely accepts (the Authority may not be able to mortgage at all)	Delete if the Authority confirms it has no power to encumber the fee	**B**
24	(silent) Landlord recourse and offset	§19.6: full recourse; waiver of immunity defenses; offset agreed as a contractual remedy	Without offset, a Tenant remedy against a public lessor is theoretical	Objection on immunity grounds	Carve out immunity for tort claims; keep offset and specific performance	**A** (offset)

VII. OPEN ITEMS — WHAT WE NEED FROM YOU

Priority order, with the lease provision that each item affects.

1. Needed for the first negotiation session (within 10 days). > (a) The residential unit count, unit mix, and the 2025 pro forma for Gross Revenues — required to test the $28.5M Breakpoint, to size the 15% affordable requirement, and to respond to the Authority's opening position [§§7.2–7.5, 11.5]. > (b) Confirmation of the status of the Bayside commitment: was the May 28 term sheet executed and returned on or before June 27, 2025, and is Bayside prepared to re-issue? [whole deal]. > (c) The construction budget line items for remediation, bulkhead, and dewatering — to test whether the $2.4M remediation estimate and the bulkhead are inside the $352M hard costs [§§4.11, 9.4, 4.12]. > (d) Whether Tenant intends to use LIHTC or other tax credits for the affordable units [§11.5(g), §11.6].

2. Needed before the second markup (within 30 days). > (e) The operating agreement and member consents, including consent to the Bayside pledge [Title Req. 3(c)]. > (f) Coventry's equity commitment letter — to confirm the "last money in" sequencing does not conflict with the Lease's conditions precedent [§2.5]. > (g) The Phase I ESA and the full Phase II report, including the boring logs and the survey plat sheets [Article 9; Exhibit A]. > (h) Confirmation of whether the Authority has encumbered, or has power to encumber, its fee interest [§3.9].

3. To be requested from the Authority in the transmittal letter. > (i) The 2012 Final Judgment of Condemnation, and the record instrument creating the APN 127-003-0045 / 127-003-0044 boundary [Part IV.A]. > (j) The recorded ROFR (Vol. 405, Pg. 55) and Affordable Housing Declaration (Vol. 408, Pg. 230), and the Authority's

agreement to record conforming amendments [§§18.6, 11.5(b)]. > (k) The ELUR, the DEEP-approved RAP and EMP, and the LUST file status for the two removed USTs [§9.4(b)(ii)]. > (l) A certified copy of Resolution No. 2025-047 with the vote count and the Chair's certification, and confirmation of whether the Board will authorize the final Lease by a further resolution [§2.5(g), §21.1]. > (m) The Authority's position on the source of its authority to grant a fifteen-year phased abatement, and the City's timetable for the Tax Abatement Agreement [§8.5]. > (n) The WRD-3 regulations and confirmation that the Project as designed is a permitted use, together with the status of site plan and special permit approvals [§4.7].

4. We will commission. A bulkhead structural assessment (jointly with the Authority if it will share the cost); a Connecticut environmental regulatory opinion on the Transfer Act and on the ELUR's application to lobby and amenity space; and a local-counsel venue and public-procurement review.

VIII. ASSUMPTIONS, LIMITATIONS, AND WHAT WE HAVE NOT DONE

1. Legal authorities are preliminary. The forfeiture analysis in Part IV.B.2 is a doctrinal sketch, not a researched opinion. We have cited Restatement (Second) of Contracts §§ 208, 229, and 356, and *Vachon v. Tomascak*, 207 Conn. 70 (1988), for the general principle that equity relieves against forfeiture. **Every citation, including *Vachon*, must be verified against the current bound volume or an authoritative database before it is used in correspondence, a brief, or a Board presentation.** We were not able to locate a Stamford decision matching your recollection, and we would advise against referencing one until we have.

2. We have not opined on tax, regulatory, or entitlement matters. The tax abatement analysis identifies the *commercial* and *documentation* risks; whether the City has statutory authority to grant a fifteen-year phased abatement on this project is a question for Connecticut municipal finance counsel, and it should be referred out before the tax abatement agreement is negotiated.

3. Connecticut-specific regulatory questions are flagged, not answered. These include: whether the Lease or the commencement of operations is a "transfer of establishment" under Conn. Gen. Stat. § 22a-134 *et seq.* (a statute that has been amended materially in recent years and whose current regime must be confirmed); the current criteria under the Remediation Standard Regulations as they apply to TPH/ETPH (the 500 mg/kg figure we use is the figure stated in the Phase II ESA and the Term Sheet, and we have not independently verified it against the current RSRs); and whether the 2012 condemnation imposes any continuing public-use restriction on a 99-year private lease.

4. The Draft Lease is a first draft in the sense that a first draft of a 99-year ground lease always is. Exhibits D through L are forms to be attached and negotiated. The Draft is complete as to substance; it is not complete as to forms.

5. We have taken the client's instructions as given. Where your June 15 e-mail proposed a position that we believed was economically or legally imprudent (for example, the suggestion that the Authority obtain the lender's written consent

before exercising a reverter — which you yourself recognized "may be a bridge too far"), we have drafted the stronger position in §5.4(f) but flagged it in the matrix as a **C** item so that it can be dropped without damage. Where we thought you had missed something — the survey and title description conflict, the recorded ROFR, the abatement timing, the bulkhead, the UST closure status, and the 480-foot-versus-320-foot waterfront geometry — we have said so, because you asked us to.

6. No assurance as to outcome. Nothing in this memorandum or the Draft Lease is a prediction that the Authority, its Board, the City, DEEP, or Bayside will agree to any particular term. The two items we consider most likely to determine whether this deal closes on October 1 are the DEEP interpretation of the ELUR and the City's tax abatement. Both should be started before the lease negotiation begins in earnest.

Attachments: Ground Lease Agreement (first draft), with Exhibits A–L.